

Barclays FY 2025 Results and Progress and Targets Update**10 February 2026****Q&A transcript (amended in places to improve accuracy and readability)****Kian Abouhossein, JP Morgan**

Two questions. The first question is on the capital return of over £15 billion. If you could just put this in context of capacity to support investment and growth. How should we think about this capacity that you're outlining? It looks like there's quite a bit of buffer. So we would like to understand that.

And then secondly, you're one of the few CEOs who actually discusses ledgers and middle office integration, which is not a hot topic. But trying to understand a little bit the investment phase, which has stepped up in 2026 significantly and you're going from £1.1 billion to £2.3 billion of investments. Just what the focus is and how should we think about post 2028 basically in that respect?

C.S. Venkatakrishnan

Anna, do you want to start on the capital and then we can come back to the other one?

Anna Cross, Group Finance Director

Sure. Thanks, Kian. So one of the hallmarks of this plan is the level of capital generation. We've talked about that. And really when we talk about an improving profit signature, that's really what we mean. It's this chart here that they've just brought up showing that sort of change to 230 basis points. (slide 71)

And in the plan, what we've done is we've meaningfully increased the distribution to greater than £15 billion, but we've also meaningfully, in fact doubled the level of investment. But such is the level of capital generation within the plan. The level of generation actually surpasses both of those two increases.

What we've done here is we've deliberately created some capacity for us to be able to invest further if and only if we determine that is the right thing for us to do. And I'll just remind you of our very clear capital hierarchy here and specifically the importance of shareholder returns. So, we're going to set a very, very high bar for any additional level of investment. And quite frankly, if we are unable to find such an investment, then the capital hierarchy will kick in and we will distribute more

than we have here in the plan or alternatively, we will be investing more than we have here in the plan and we would expect the momentum of the business in the outer years to be higher than we're presenting here. We have no inclination, no objective here to hold on to higher than required levels of capital but what we're trying to do is create some capacity to underpin some of the meaningful opportunities for growth that we have whilst meaningfully stepping up that level of distribution.

C.S. Venkatakrishnan

I would say, I think if you look at our track record of investment, Anna spoke about the investment which we had made in our prime and financing business and both the quantum of investment and the payback, you saw the quantum of investment in the mortgage broker application platform and the payback.

We look to make investments where you would get the revenue realisation fairly quickly and you see that even with Kensington Mortgages and Tesco and "God willing" Best Egg. So, we are looking to do that. And we need to keep that capacity for that reason because opportunities will be there and needs will be there.

I would say, Kian, on the second question about subledgers and the sort of the guts of the organisation. You know, it comes from both a philosophical place and from the actual reality of the business. The philosophical place is, as I said, for a long time in this industry, the technology has revolved around the businesses.

Now, as you see not just in us, but across the industry, the depth and extent of technology-based services, products, and delivery, the businesses are evolving around technology. And what that means, especially if you're going to take advantage of the promise of new technologies like AI and cloud computing is that you've really got to, harmonise your processes and standardise your approaches.

And especially when it comes to data platforms and to the way in which you construct and store your data, the way in which you do computing, the way in which you build models and the way in which you deliver. And if these things are not standard, you add a huge complexity. And so, we've got to unravel that complexity. And in large complex GSIFs, that's a big task and that's what we are trying to do.

Alvaro Serrano, Morgan Stanley

One of them is kind of a follow-up to the second question maybe for you, Venkat. In one of the slides and you pointed out that 75% of the employees are in support functions.

Obviously, at least for me, the surprise of the plan is the cost element as you were referring to. During the plan, how is that number going to come down during the plan in 2028 and beyond that, how low do you think it can go because it's obviously one of the core pillars?

And second, maybe a more financial one, on again maintaining the RWAs flat in the Investment Bank and one of the things coming out is ongoing RWA efficiencies. Is there anything - maybe this one is for Anna, but is there anything you can point us to that is pretty mechanical around the way the business is done in Investment Banking, maybe less legacy LBO business, more private credit capital-light businesses, that we can gain conviction that mechanically the RWAs are going to be flat right now? Pointing out to a proportion of contribution today versus three years out, something that will give us confidence that we can keep it flat. Thank you.

C.S. Venkatakrishnan

So first of all, on the cost, just a definitional point. When we call support functions, there's a bit of a legal entity aspect of Barclays. This is what we call Barclays Execution Services. This includes technology and operations, but it also includes compliance, risk, finance, HR, and legal.

So it includes basically the non-revenue generating parts or direct revenue-generating parts of the business. So that's the first thing. The second thing, as I've said and I'll have Anna chime in, we don't have an explicit target in terms of number of employees. What I've said is there will be productivity benefits from all these investments.

We hope to harness this productivity benefit in improving the quality and delivery of services, whether that is to clients or whether that's internally, right? And there will be obviously a gross efficiency cost-savings that we've outlined and investment in the Group. But we are not outlining a particular people target. I think we are approaching this from something that creates efficiency in order to provide enablement. And then we'll see where we go. Anna?

Anna Cross

If I can just add to that, our real focus from here on in is really on that technology efficiency. So, the majority of cost out, if you like, the efficiency is going to be driven by change delivery, by platform modernisation and the kinds of things that Venkat was talking about, enabling products to market, if you like, much, much faster than we have done before.

So that's where we see the sort of meaningful change, if you like in the cost base.

C.S. Venkatakrishnan

It's no accident that the most digitally enabled part of the bank, which is the US Consumer Bank also has our lowest cost income ratio. Right. It's no accident. Go ahead.

Anna Cross

On RWAs, I mean, this is not a new thing for the IB. They've been flat for four years. They were flat for two years before we started the last plan. And whilst we've made considerable progress, 110 basis points [income over average RWA improvement since 2023], we do think that there's more to go here. So let me talk about a couple of stats.

The first would be, if you remember when we did our Investment Banking deep dive, we talked about that review of the loan book being really good stewards of capital. We are two-thirds of the way through that review with a third to go. It might be helpful actually if we can bring up a slide that's got the relative revenues over RWAs and you'll really see what's happening in the Investment Bank (slide 64).

At the same time, so it's that bottom right hand chart that I'm calling out there. Absolute levels of RWAs have been coming down in banking as we have reviewed that loan book. That's allowed us to be much more nimble in how we deploy RWAs across the Investment Bank and really deploying them at the moment, as you've seen in Markets, just because the market opportunity has been there.

The other thing I would call out is much of our growth that we're really leaning on from here on in. Some of the things we talked about before, M&A and ECM, but the International Corporate Bank is a really big part of this part of the plan. It's made tremendous progress in the last two years and that again comes from the treasury coverage model that we talked about in our deep dive.

We've increased our deposits by 140% here and now we have the opportunity to really leverage that by deploying the technology that Venkat is talking about and really driving fee products from here. So, we are confident in that trajectory. Venkat?

C.S. Venkatakrishnan

I'll just add to what Anna said. Structurally, it is the International Corporate Bank and Transaction Banking. It is the continued growth in our prime businesses, which revenue per unit RWA because of just the way the lending is structured is generally better. It is over a very long period of time, the way lending and banking has been changing from direct lending on individual credits to portfolio lending.

But that's over a very long period of time, but it's the thing Anna said, it's Corporate Banking. It is an emphasis on fee businesses and also you know, at the right points of the cycle, intermediation.

Guy Stebbings, BNP Paribas

The first question was on capital in terms of targets. You got the 13% to 14% target. I think you've talked sort of running at the top end of that range throughout this plan and given this is the plan now to 2028, post Pillar 2A changes, given the constructive tone from the regulator. I'm just wondering what do we need to see to sort of potentially move lower down in that range as sort of a formal way you're running from the business? Is it just getting that Pillar 2A change from the regulator? And [I assume] you [have] got pretty good visibility as to what you're expecting there. So, if things do land as you expect, maybe you could help sort of frame that and we can think about what that means for capital return and RoTE targets?

And then the second question was on the mortgage book in the UK. You referred to the headwind in the first half of this year. Can I just check in terms of the definition of that headwind? Is that sort of a gross headwind? Because I'm mindful that with Kensington and the sort of flow of the book, you might be able to offset some of that as you have some higher LTV, higher margin business coming through. So, can you kind of frame the definition of that headwind? Thank you.

Anna Cross

On the first one, if you go back to the beginning of 2025, what we said was that because we were carrying more Pillar 2 in advance of IRB implementation, you should expect us to operate at the top of the range or towards the top of the range.

That's still what we're saying. It's no different to that. And I do expect there to be some pillar 2A offset when we get through Basel 3.1 and IRB. I just don't know what they are right now. What we are trying to do in every single part of this plan is put it in our control. We want our distribution plan to be underpinned by the things that we're doing and that it can't be put off course by the timing of regulatory change or the certainty of that change.

That's all we're saying here. So, for us, in the short term, our planning assumption throughout this plan, is that we will be at the top end of the range. Obviously, you should reflect that in the way you think about our distributions, you should reflect that in the way that you calculate our RoTE.

But once we get beyond that implementation and we have that clarity, we will, of course, review where we think we should be within that range. We still think that the 13% to 14% range is the right range for Barclays. But at this point in time, we just don't have the regulatory clarity and we want this plan in our control. So that's the reason for it.

And on mortgages, I'm specifically talking about a gross impact and it relates to the mortgages that were written at the very end of 2020 and beginning of 2021. As you remember, as we were all coming out of COVID, there was that stamp duty holiday in the mortgage market was very substantial.

Those mortgages were written at very widespread, like 160 basis points. That's quite meaningfully different from where we are now. So just as they refinance, you're going to see some relatively short-term pressure across the market as a whole. We think it will be gone by the end of half one [2026].

And then beyond that, you're going to see the kind of progress that you've seen in our NII to date. But it is a growth impact. We're obviously, enjoying very good levels of net lending, driven very much by Kensington and that broker platform. So, it's a short-term hiatus, I would describe it as.

C.S. Venkatakrishnan

And if I may just underline one thing, Anna, whether it's capital or looking at our RoTE, there are potential tailwinds, right? We are planning prudently, but what Anna is referring to, whether it's the new capital rules and what relief we get, there are potential tailwinds. We are not banking on them.

Ben Toms, RBC

First one is on Private Banking Wealth Management. What products are you currently missing from your Premier Banking proposition? And how easy is it for you to build those yourself?

And then secondly, can you continue on the UK loan book? UK retail banks continue to surprise to the upside on loan book growth relative to GDP. I think your guidance is for 5% loan growth CAGR out 2028. What's driving the growth in excess of GDP? And what's your outlook for volumes in the mortgage market for the next couple of years? Thank you.

C.S. Venkatakrishnan

Let me start on both. We've got a pretty big and complete product suite. There are a couple of gaps in the product suite that are missing, SIPs and Junior ISAs that are coming online. But if you put yourself at a higher level looking at it, starting at the self-directed end of the spectrum, what we've got is Direct Investment, what we used to call Smart Investor, which is you're basically do-it-yourself investment buying stocks, bonds.

Then you come to the next piece, which is planning and advice. That is where we are doing some work, as I said, to create products, which we will talk to you about soon, which you know clearly constructed, fairly priced, transparently built and efficiently distributed.

There we are looking to grow in scale and we've got the basic product set. And then we've got our Private Bank both domestically and internationally. So, I would view it more as a scaling journey than as a completion of product capability. And that is our goal.

I think more broadly, the UK is a nation of savers. I think it needs to be more of a nation of investors. I think we're going to have a broader tailwind and support for this. I think it's important role for banks to play and you'll see us emphasise it.

Then if I come to loan growth above GDP, let me begin and then Anna should fill in. We've said 5% as you say, loan growth versus nominal GDP of 2%. Basically, there are parts of the business in Corporate Banking, in Business Banking and even parts of personal loans where we were underrepresented in the last number of years. Tesco has given us the capability in personal loans and you can see the increase.

You're seeing the increase of 18% growth in lending in the UK Corporate Bank. If you look at the UK Corporate Bank broadly, still loan-to-deposit [ratio of 34%]. So, we have a lot to grow, right, versus what you might normally expect.

Anna Cross

Simply put, Ben, I think it's a combination of increased capability. So, we've talked a lot about the mortgage platform. Actually, we're doing very similar things within the Corporate Banking environment, making it easier for that customer or client to engage with us and making that journey efficient, quick, giving them certainty, etc, that's making a really big difference.

I think also the sort of broader product architecture that Venkat talked about. We see it in cards across multiple products. We obviously see it in our mortgage business. So, we're just going to market with a much broader range and certainly more of a step change than we've had sort of two or three years ago.

What it isn't is price, and what it isn't is risk. So, you can imagine as CFO, I've got a very keen eye on those things. If you think about our Corporate lending, it's up by 18% year-on-year. We've got more than 1000 new clients in two years. About half of those are driving some of that lending.

But as I look at the risk profile, it's not changed since the beginning of the plan. And as I look at the portfolio margin, it's not changed since the beginning of the plan. So, it's really technology, intention to lend, and I would say breadth of product.

Tim Piechowski, ACR

I think today, in [your] guidance, it's the first time you've pointed us to the seven-year swap rate from the five-year swap rate on the [structural] hedge book. And could you talk about, is there a change in kind of the duration targeting there and what gives you the confidence to make that change? You're looking at deposit betas, etc?

Anna Cross

We actually extended the length of the hedge last year and taking it from roughly three years to three and a half and that's why the seven-year swap rates becomes the most relevant rate. That really follows the observation of customer and client behaviour, because what we do is every single month, we are looking at how the deposit books perform across Retail and Corporate at a very, very granular level. And what we were observing was really that the customer and client lives were lengthening out and we were getting more confidence around that. So, it's purely a reflection of that change.

Andrew Coombs, Citi

So on the Investment Bank, if I look at your 2026 targets, previously you had a greater than 12% target. It's now circa 12%, a high-50s cost income ratio is now circa 60%. I'm assuming the change is primarily due to FX, but perhaps you could firstly confirm?

Secondly, when I go back two years and think of the original plan, a lot of the revenue growth was assumed to come from market share gains and you actually assumed a fairly flat wallet. Actually, what's materialised is a much better wallet than you expected, but flat market share. So perhaps you could also just talk to competitive dynamics and how that's played out versus what you thought two years ago and how that then fed through to your 2028 assumptions as well.

Then on the US Consumer Bank, I just wanted to understand some of the moving parts because you talked about greater than 13% NIM for 2026 full year, but I think in your earlier commentary, you said 12.5% for Q1, 14% for the second half post the [American Airlines] sale. So, presuming it's the 14% you would argue we should be thinking about into the outer years. But then similarly on the loan-loss ratio charge, you're actually assuming that's coming down even as the exit NIM is higher. So perhaps you could just square the circle there. Thank you.

Anna Cross

Thank you. So, Andy, you are correct. The material moving part between the last plan and this plan is we previously planned on [GBP/USD of] 1.27. We're now planning on [GBP/USD of] 1.35. Now that has no impact on group capital, no impact on our ability to distribute, but in particular,

pockets of the bank, you see some concentrated effects and the Investment Bank is one of those, you're going to see it in US Consumer Bank as well. So that movement in FX is worth about 50 basis points. So, all we're doing is we're just truing up our expectations. We're pleased with the progress that it's made so far.

I'm not going to mark-to-market that plan every single passing quarter. It's just that as we're resetting targets, we felt like it was the appropriate thing to do. Thank you.

C.S. Venkatakrishnan

I think, on the other side, what I would point to is, on the Investment Bank side, Banking per se, as I said to you, we would like to see greater fee share. What you've seen so far is progress from the hires and the investments we've made, and you've seen greater revenues, obviously and excellent capital discipline. As we make these investments; we hope to see the fee share.

On Markets, I would point you to the fact that in the three focus businesses, we've done what we said we would do and we've done it a year early. And as well as the number of our top five clients among the top 100 clients for whom we are top five, that has gone from 30 to 50 to 60. So, there is structural progress being made in these elements.

Anna Cross

Thank you. So Andy, you're right. There's a lot going on in US Consumer Bank in 2026, specifically being driven by the fact in Q2 we expect to exit the American Airlines partnership and also complete the purchase of Best Egg in the same quarter (slide 96).

Firstly, that has a NIM impact. I expect the NIM to go to around 12.5% in the first quarter. What's driving that? Well, it's just the accounting that I called out earlier. It's a movement between non-NII and NII. Then we've always said that because American Airlines was such a high-quality portfolio, the NIM on it is relatively low, but also the loan loss rate on it is relatively low. So taken together, it was a relatively low returning portfolio because it's super prime.

So what happens when that leaves the portfolio is the NIM will go up further. So you're right, in the second half of next year, I'm expecting, a clean run-rate of NIM, which looks more like 14%.

Now, when I come to loan loss rates, that same impact is going to take us from 400 basis points to 500 basis points, but that will be more than offset by NIM. During 2026 in isolation, what you're going to have is a couple of impairment effects. The first is, if you recall, when we buy something, we bring it all on at Stage 1. So, it has to mature through Stage 2. So, you get what we call stage migration. You're going to get that in the General Motors portfolio. So that's going to elevate impairments slightly.

And then for a period of time, we're going to be holding on to some non-performing loans from the American Airlines portfolio that won't go with them on the sale. So those two things together are going to show a little bit of elevation during 2026. So that's why I'm guiding you to around 550 loan loss rate, but ongoing, 14% NIM and 500bps loan loss rate.

Perlie Mong, Bank of America

Thinking about the income guidance at the Group level, so it's greater than 5% CAGR. Within that, obviously, Investment Bank is probably below, and the [US] Consumer Bank is above. And with the UK part also growing volumes and greater than 5%. I'm just trying to think about what does it imply about margins. So in terms of product margin, that is, would you expect more of that income growth coming from the volume side? Are we basically past the point where deposit margin is growing very substantially because of the hedge? And obviously, 2026 will probably be a bit higher because of more of the hedges coming through in 2026. So, in 2027 and 2028, how should we think about the margin piece? And that's number one.

And number two, so it sounds like Investment Bank RWAs is going to stay relatively flat because you still expect that to come down to about 50% of the Group by 2028. So roughly speaking, it's not much more to the Investment Bank and the cost guidance at a Group level only modestly growing from now to 2028. That suggests [the] Investment Bank not getting very much cost either. So, I'm just trying to think about why you've decided to do that in the context that obviously, the Investment Bank probably is one of the businesses that has performed above expectations in the last cycle. And increasingly there are questions about with the US peers investing more and putting more capital behind Investment Bank, why would you choose not to do so?

Anna Cross

So how do we think about product margin in the UK is I think your question. So, look, there's a bit more to go here and you can see that from the, can we go to the structural hedge slide, please? Thank you. (slide 64).

We are assuming that we are going to be reinvesting the structural hedge at 3.5%. The maturing yield over the next three years is materially below that. So, 1.5%, 2.1%, 2.7%. So, you're going to have a considerable hedge tailwind across at least this plan, probably beyond. And everything that we've done around the tenure of the hedge and extending it from 3% to 3.5% is only going to increase that momentum for longer. So that remains there as a, if you like an underpin for product margins.

Then if you think about lending more and particularly within our credit card business, all of the volume that we've written over the last two years coming to maturity from its promotional balances, that will start to increase the interest-earning lending in the credit card book. So, we expect those things to continue.

Now what we're not doing here is planning for any expansion of product margin really though, because what we've said implicitly is that the growth that we're seeing in lending and some of the margin pressure that we're seeing in the UK market pretty much broadly offset. That's our planning assumption. Now it may turn out differently to that, but we are not assuming that product margins in totality, get either better or worse, if that makes sense. You just continue with that hedge grinding in the background, product margin is broadly awash. That's how we think about it or that's how we planned for it.

In terms of the Investment Bank, what we're trying to do here is construct a plan that is carefully constructed. We're trying to put as much of it within our control as possible. So, we're planning on a flat wallet. We're not materially expecting any market share change in Markets. We expect some in Investment Banking.

The pressure here in the plan is coming more from Transaction Banking, but that's where we're directing our investment. But don't conflate careful planning and lack of ambition because what we will do, of course, if the opportunity presents itself, we will monetise it as we have done to date.

C.S. Venkatakrishnan

I will emphasise that last point. I must say it's nice to be getting a question about why we shouldn't be bigger in the Investment Bank. We've been very clear to you over the last couple of years about where we are roughly targeting the IB as a percentage of the Group. I think what you should expect us to do is exactly what Anna said, which is we're making a plan based on an assumption of a wallet. If there is an opportunity, we've done it in the last number of years, which is we take advantage of it.

Chris Hallam, Goldman Sachs

Just a question on the Investment Bank to begin with. Are you able to give any colour on perhaps how much leverage exposure is tied up in the Investment Bank? I know we talk about RWAs, but as we shift towards the growth, you're seeing in the Financing businesses, how relevant that metric is?

And when you talk about flat market share in Global Markets, is that a conservative assumption or not given, I guess the deregulation story we're seeing building in the US and also the ambitions one of your European peers has in FICC, specifically in the United States?

And then the second question is more broadly on AI. I think or I assume behind the scenes going through all the planning, you've looked at a lot of the opportunity set in that area. It feels as though more generally, there's a narrative that the technologies are becoming more impactful, but perhaps the speed at which you can get them into the enterprise is taking longer than people had expected and maybe at a slightly higher cost.

Is that a fair narrative or one that you would agree with when you think about the work you've done behind the scenes on this topic?

Anna Cross

We don't talk about return on leverage balance sheet a lot with this community, but you can imagine we are very focused on it in the background. And you're right, there are two big parts of the bank where leverage is deployed probably most extensively.

One of them is obviously retail mortgages. The other one is Financing within the Investment Bank. So, it's very high RoTE business because it's essentially secured lending, but it does consume leverage balance sheet. That's why we have the AT1 strategy that we have. And we're always thinking about what are those returns on the leverage balance sheet versus the cost of those AT1s.

That's how we think about it in the background. We have deployed more leverage in the business over the last few years, but so have our US peers. And our perception to date certainly is that they have not been leverage constrained in the way that they have addressed that. And despite that, we've grown the balances by 60%. It's a business, of course, we're focused on the returns across many lenses, but we're happy with where it's going.

C.S. Venkatakrishnan

I'd also say one of the things about the bank and the way we're building the bank is that we have lots of options and lots of opportunities. So just as you have two areas which consume leverage, you've also got the US cards business, which helps you offset that because it's capital dense, relatively speaking.

And what we're doing on the personal and unsecured side in the UK, which is also relatively more capital dense. So, I spoke on one of the slides about balancing product, income type mix, all these factors are coming in to create the portfolio which we have.

I think back to me on AI. You're right that I think what people are finding is that it's not just sort of enabling a particular type of model or a particular capability on everybody's computers and then get to work. So, you have human adoption and then you have more importantly, the ability to get it to work in the system.

To get it to work in the system requires two things or three things. One is the basic infrastructure, then adding the capability and then the third, the willingness to reengineer your processes. That is what we are trying to convey in the slides we spoke about on technology. So, the basic infrastructure is about both data and computing.

Then on top of that, you build the model capability, which exists in some of the computing platforms, but which you might put on your own. And then the third is the commitment to reengineer processes and you've got to really do it end-to-end. So, whether it is BarxBot, whether it is what we are trying to do in credit risk, whether it is what we are trying to do in the US Consumer Bank and customer service, you can't leave pieces of this undone.

That's the deep organisational commitment. So, we recognise it. That's what we are finding behind the scenes, as you said, but we're trying to pick the right projects that will have the biggest impact on the bank and see it through from beginning to end.

Mike Holton, BNY Newton

There are some things that you talked about that do seem relatively conservative. Now whether they will be or not, we'll see over the planning period. But to the extent that they are and revenues are better, income is better than you're planning, should we expect as investors for that to flow to the bottom line, so profits are better, RoTE is better or over the course of the plan, would you invest that away, maybe make additional accelerated investments in the business such that you still hit or maybe beat your plan by a little bit, but you improve the sustainability perhaps of the profitability, pull some investments forward. So, beyond 2028, you're set up even better.

Anna Cross

The first thing I would say is that our targets that we've given you have very deliberately got a greater than sign in front of them. We're balancing a few things here. The first is that, as I've said a few times, we want to put this within our control, the delivery of the plan.

And that's really, important to us and particularly the delivery of the distributions of the plan. So that's number one. Number two, we are balancing here the longer-term growth of the firm. So talked a lot about the additional investments that we have and will continue to make.

I mean, between Venkat and I, it would be relatively easy for us to optimise the returns of the firm across a short-term horizon. That is not what this is about. We are really balancing here, investing more in the business and that means that the RoTEs in the shorter term are probably a bit lower than they would otherwise be.

But we think it's really important to create a Barclays for two years' time when we're standing up maybe. During the next phase of the plan, the third phase of the trilogy where we're talking about 2028 and beyond, we want that momentum to continue. Not so much on the income forecasts, but when I was talking before about the capital capacity of the plan, that's exactly what I was driving, our ability to flex our investment pathway if we feel that's the right thing to do.

But every time, we are doing that, we are considering what is the return on that investment relative to either the business as it stands now. So, is it going to enhance those returns further or how does it look like versus the returns of a buyback? So, we are thinking about all of those things as we deploy that.

C.S. Venkatakrishnan

We presented a plan to you that is based on prudent financial planning in the way Anna has said, but we want to create a deep infrastructure for this bank, make it, as we said returns in different environments, pretty strong returns through different environments and sustainably higher returns in the long run, which is a combination of investment and shareholder return.

James Invine, Redburn

I've got two, please. Anna, can you talk about your thoughts on kind of deposit volumes and spreads in Barclays UK, please. So, we saw a pickup in volumes after a few quarters of kind of flat to slightly down. And I think as well, your UK NII guidance kind of implicitly assumes quite a bit of deposit pressure. So, is that migration, is it product spread pressure?

Then Venkat, just back on the Investment Bank, I mean, it sounds like you're very theoretically open to putting more investment in there, but what actually has to happen? So, the revenue on risk-weighted assets has gone up. You're talking about a 13% plus RoTE. How much higher do those numbers have to go before you think you'll give this business another £20 billion of risk-weighted assets?

Anna Cross

Okay. So, on UK deposits, you can see that the deposits are up quarter-on-quarter by around £3 billion if we go to this slide. (Slide 17).

What we can continue to see there, James, is we do continue to see some competitive pressure in the UK and specifically that move towards fixed or time deposits. Now, seasonally, I would expect some concentration of that in Q1, Q2 just because of the ISA season in the UK. We always see that and it feels like as a market, we're well primed to see that. But we are pleased with that deposit progress.

What does that underpin? Well, I think just continued improvements in the business. And I would say that we've deployed our multi brands in deposits this year. We don't really talk about that. We talk about it a lot in assets, but you know, we are going to market with a much more sophisticated product architecture in deposits because we are now deploying the Tesco brand here. So that's really helping us. But we are not assuming from here that there is any real easing in that deposit environment. It may happen, it may not. But as I say, we're trying not to make significant market assumptions.

C.S. Venkatakrishnan

Yeah. So, on the Investment Bank, first of all, investment comes in different ways. Investment comes in people, investment comes in technology, particularly in the Markets business and then investment can come in RWAs. What we've spoken about on the balancing side is basically Investment Bank RWAs as a percentage of the Group, where we set a target of around 50% seems right.

We've also indicated flexibility around that number if there's a little opportunity, but 50% seems right. We have been investing heavily on technology and people, and we've spoken about it, whether it's bankers, whether it's trading capability and of course, electronic trading capability. We spoke a little earlier about the investments we've made in Prime. So, there's been and continues to be tremendous investment in technology and capability.

Some of this or a lot of it is going towards things that are relatively capital-light and relatively high in fees. We are prioritising stable income, we are prioritising Corporate Banking and of course, electronic trading, which helps with our Intermediation.

And on the capital side, as I've said, there is a balancing act and it's about 50% is where we would aim to target. And to get there right now, Investment Bank RWAs have to be relatively flat.

Chris Cant, Autonomous

If I could just ask one point in detail and then on the IB again. So, your effective tax rate has been quite difficult to predict over the last couple of planning periods. If you could just fill that gap in our models, I think that would be appreciated by all.

And then on the Investment Banking side of the equation in terms of stable market shares, I guess one obvious development that's probably coming down the tracks at you in the next 12 months is this regulatory change in the US. So, are you seeing at the moment any change in the competitive environment? And do you make any allowance in the plan for a potential contraction in product margins as some of your US competitors get more capital capacity, some of which is likely to be deployed into the Investment Bank. Thank you.

Anna Cross

I'll start with the tax rate. So, Chris, I'm not going to give you a tax forecast. But I recognise that the quarter-by-quarter tax can be a bit lumpy and because it relates not only to the changing shape of the business, but also things that may have happened in the past.

So, I would encourage you to look at it over a sort of full-year basis and maybe for the last couple of years and start from there. And always, if we've got significant tax impacts, we typically call them out for you.

C.S. Venkatakrisnan

Just to clarify, by regulatory change, do you mean capital regulations in the US or do you mean individual banks that might be under regulatory structures now that might lift?

Christopher Cant

More the former.

C.S. Venkatakrisnan

US capital regulation is very likely diverging from what's there in the UK and what's there in Europe. We have operated this investment bank through multiple capital regimes in different locations and we adapt. The question is then how do we adapt? I said earlier in our presentation that the secret sauce of our Investment Bank is the synergies, our strength in Fixed Income and Structured Financing and the nimbleness of our approach with our clients and deepening the way in which we engage with clients.

So, we'll see what comes out. We will see whether we are at a relative advantage or disadvantage in certain things. But the most important thing is to keep investing in the infrastructure, the people, the products, and the client relationships so that we can manage it through different points in the market cycle through different differences in capital regimes. This has always been a very competitive business, and we expect it to continue to be so.

Jonathan Pierce, Jefferies

If I can take it up a level, if that's okay, got a couple of questions. I'm really trying to triangulate the capital generation targets on slide 71 and with the RoTE and the distribution expectations. I mean, greater than 230 basis points on circa £400 billion of RWA is obviously getting you to an attributable profit number of over £9 billion.

So putting to one side, that's quite a bit ahead of consensus, even if we assume 3% RWA growth, which if the Investment Bank is pretty flat is quite a lot. That's only going to take us down to about £8 billion of free capital generation, which is obviously huge in the context of the £15 billion plus over the three years.

So can I just firstly ask do you recognise those numbers, are these distributions going to be really quite back-end loaded such that when you are stood here in two years' time, the next three years of distributions are going to be markedly above the greater than £15 billion that you've talked about today.

Secondly, connected, the RoTE on that 230 basis points plus, if we use consensus TNAV would be closer to 15%, maybe a little above 15%. I just wonder if you can talk to TNAV growth over the next few years would be great if you can reference consensus, but maybe some of the things that are harder for us to model like the own credit unwind, the pension surplus, maybe even the cash flow hedge reserve moves to a positive. How should we be thinking about TNAV two or three years forward, please, particularly versus consensus. Thank you.

Anna Cross

Thanks, Jonathan. I guess both of those are for me. So let me just start with capital. So, I'm not going to comment on your maths, Jonathan. Where I agree with you is that the organisation is generating a lot of capital and we expect that to continue. So when we give you a distribution target of greater than £15 billion, I would concentrate on two things within that slide.

One is the greater than sign. And the second is this point that we are making that beyond the investment that we've got in the plan, so beyond the doubling of investment and beyond the level of distributions, there is an element of capital creation here that we are holding for additional investment if we think that is the right thing to do.

Now if we don't, then we will, of course, return that to shareholders. That's what our capital hierarchy says. It says, first, be well-capitalised, then deliver it to shareholders, then invest it to meaningfully improve the returns of the Group. So that capital hierarchy remains. We have no

desire to hold on to excess levels of capital. Your thought process is as ours is, but as I say, I will leave the maths to you.

Last time I looked at it, our expectations of TNAV versus consensus TNAV were broadly similar.

Amit Goel, Mediobanca

Looking at BUK profitability targets. So, 2028, greater than 20% RoTE, similar to 2026, greater than 20% RoTE, despite a mid 40s cost income ratio and versus the low 50s further progression in terms of the income from the hedge. And I mean, I guess just wondering why isn't that number say greater than 25% RoTE or higher or you don't want to show a number like that?

So just curious on that, that's the first question. And the second, just on the Investment Bank fees, again, this comes back to the market share point. So, I understand the flat wallet assumption going into 2028. But again, when I look at the trajectory, I think last time we were thinking that there had been investment in 2023 and so forth, which should drive market share gains

We saw gains into 2024. I think we went from about 3% to 3.3% in 2024, but that's come back down now to around 3% again. So just wondering what's going to create the reacceleration back to the 3.5% and what gives the conviction on that piece? Thank you.

Anna Cross

So, a couple of things just to call out, Amit, just to help you. Firstly, again, I'm going to lean on the greater than. And the second thing is that although this is not true for the Group, for Barclays UK, it is true. We are expecting some impairment normalisation within that business. As we said, it's been running relatively low because we've been recalibrating these impairment models that are consistently over predicting impairment in the UK. So, we've been running pretty low in BUK. We do expect that to normalise up to around 30 basis points.

That's not true of the Group. The Group is running in totality where I expect it to be. So that's not flattering the Group, but I think it is flattering Barclays UK right now. So, if you take that plus just lean on the greater than number then. That should hopefully explain. Venkat?

C.S. Venkatakrishnan

So I'll begin with an answer on fees similar to one I often give on Markets. So, when we have quarter-by-quarter annual returns and results in Markets, people will always ask, why are you better in this or why are you worse than that. Some of it has to do with our relative strengths. And then how do the markets evolve to either play to your relative strengths or not. And you've got to look at it over a long period of time.

On Investment Banking fees, as I said, we made the investment in bankers and DCM is relatively strong. It's ECM and M&A where we need to do more catching up. Leveraged finances are obviously reasonably strong. So, when you then look at that, some of it has to do with the pattern of deals in the last year versus the year before. There were larger, more lumpy deals. Sometimes if you're lucky to be in them, you're good, otherwise you're not.

So 2024 was a helpful year, 2025 less helpful. But over the long run, we expect to get that market share simply by having the right bankers and the right product and we look at this over a longer period. So, I will give that kind of answer to you.

C.S. Venkatakrishnan

Alright well listen thank you very much. Let me say that over the last couple of years, Anna and I have really appreciated the engagement from all of you and your organisations as we've been on this journey. We appreciate your candid feedback, supportive and encouragement. We welcome the opportunity to continue these conversations with you. Some of it will be on the road and one-on-ones and I want to really thank all my colleagues who've helped put this together. Thank you.

Anna Cross

Thank you.

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